

[INTERNAL]

Retention Strategy 2026 — Reducing Churn, Driving Expansion

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NovaTech's Q1 2026 monthly logo churn of 2.1% exceeds the 1.5% target. This strategy document identifies the three primary churn drivers — poor onboarding completion, low query volume in the first 30 days, and lack of RBAC configuration for team accounts — and proposes mitigations aligned with the Project Phoenix self-serve initiative.

1. Churn Analysis

Churn Driver	% of Churned Accounts	Proposed Fix
Poor onboarding	44%	Phoenix wizard flow
Low 30-day query volume	31%	Usage nudge emails
RBAC not configured	18%	In-app RBAC guide
Price sensitivity	7%	Annual plan discount

2. Project Phoenix Self-Serve Initiative

Project Phoenix, targeting Q3 2026 launch, redesigns the onboarding experience with a guided wizard that connects the customer's first knowledge source (Confluence, Google Drive, or PDF upload) within 10 minutes. Internal testing shows wizard completion rates of 87% vs 41% for the current freeform setup.

The wizard automatically suggests RBAC roles based on team size and account type, addressing the 18% of churned accounts that never configured role-based access — a feature tightly integrated with Project Atlas.

3. Expansion Motions

- Month-2 expansion email: highlights queries saved vs keywords search baseline.
- Usage milestone celebrations: in-app badge at 1 000, 10 000, 100 000 queries.
- QBR programme for Enterprise accounts: quarterly business reviews with CSM.
- Atlas upsell: accounts on Starter with >800 queries/mo get expansion offer.

